

COMMERCIAL STUDIES

Maximum Marks : 80

Time allowed : Two hours

1. *Answers to this Paper must be written on the paper provided separately.*
 2. *You will **not** be allowed to write during the first 15 minutes.*
 3. *This time is to be spent in reading the question paper.*
 4. *The time given at the head of this Paper is the time allowed for writing the answers.*
-
5. *Attempt **all** questions from **Section A** and **any four** questions from **Section B**.*
 6. *The intended marks for questions or parts of questions are given in brackets [].*

Instruction for the Supervising Examiner

Kindly read aloud the Instructions given above to all the candidates present in the Examination Hall.

This paper consists of 11 printed pages and 1 blank page.

SECTION A (40 Marks)

*(Attempt **all** questions from this **Section**.)*

Question 1

[16]

Choose the correct answer to the questions from the given options.

(Do not copy the questions, write the correct answers only.)

- (i) The Central Bank helps to settle claims of Commercial Banks by a process of book entries.

Identify the function of the Central Bank depicted above.

- (a) Monopoly of note issue
- (b) Lender of the last resort
- (c) Clearing house function
- (d) Custodian of foreign exchanged

- (ii) Meeta was a very hard-working Sales manager who was always achieving targets with her team. When the Regional manager Mr. Mohan retired, she was offered the job. Identify the method of recruitment used.

- (a) Advertisement
- (b) Transfer
- (c) Placement agency
- (d) Promotion

- (iii) ABC enterprises was a construction company having 5 trucks. When the business expanded, the company bought 3 more trucks. What will be the accounting treatment for these vehicles?
- (a) Liability side of Balance sheet
 - (b) Debit side of Trading account
 - (c) Credit side of Profit and loss account
 - (d) Asset side of the balance sheet
- (iv) A warehouse located in rural areas where land is available at a low cost is:
- (a) Bonded warehouse
 - (b) Private warehouse
 - (c) Cold storage
 - (d) Public warehouse
- (v) Nitin took an insurance policy for his car. 7 months later, he faked an accident and tried to claim the policy. Which fraud is committed by Nitin?
- (a) False accounting fraud
 - (b) Intellectual property fraud
 - (c) Insurance fraud
 - (d) Cyber fraud
- (vi) Transport and warehousing are examples of:
- (a) Products
 - (b) Services
 - (c) Publicity
 - (d) Advertising

- (vii) Rahim purchased a new air conditioner costing ₹50,000. By giving back his old AC, he paid ₹5,000 less on the new one.

Which sales promotion technique is being referred to in this context?

- (a) Coupons
- (b) Prize contests
- (c) Clearance sale
- (d) Exchange offer

- (viii) In Provident Fund Scheme, only the employee contributes to the fund.

- (a) True
- (b) False

- (ix) **Assertion (A):** Group Insurance is gaining popularity these days.

Reason (R): The employer can get insurance cover for his employees at low cost and provide security to them.

- (a) (A) is true and (R) is false.
- (b) (A) is false and (R) is true.
- (c) (A) is true and (R) is the correct explanation for (A).
- (d) (A) is true and (R) is not the correct explanation for (A).

- (x) Observe the image and identify the type of training being used.



- (a) Classroom
 - (b) Simulation exercise
 - (c) Apprenticeship training
 - (d) Job rotation
- (xi) With regards to shares, identify which of the statements are true.
- I.** Equity shares are the main risk bearers.
 - II.** Preference shares get dividend at a fluctuating rate.
 - III.** Equity shares have high nominal value.
 - IV.** Preference shares have priority rights in payment of dividend.
- (a) I and II are true.
 - (b) I and III are true.
 - (c) II and III are true.
 - (d) I and IV are true.

- (xii) A teacher is teaching Final Accounts to her class. Where will she post the entry of Overdraft?
- (a) Debit side of Trading account
 - (b) Credit side of profit and Loss account
 - (c) Asset side of Balance sheet
 - (d) Liabilities side of Balance sheet
- (xiii) Ravi purchased a pair of ear pods, but they did not work properly. Under which right can he claim a replacement?
- (a) Right to choose
 - (b) Right to safety
 - (c) Right to seek redressal
 - (d) Right to be informed
- (xiv) Which of the following is shown as an asset in the Balance Sheet?
- (a) Revenue receipts
 - (b) Capital receipts
 - (c) Revenue expenditure
 - (d) Capital expenditure

(xv) **Assertion (A):** The Principle of Insurable Interest means that the insured is benefitted by the existence of the insured property and suffers a loss by its destruction.

Reason (R): In the absence of Insurable Interest the contract becomes null and void and unenforceable under law.

- (a) (A) is true and (R) is false.
- (b) (A) is false and (R) is true.
- (c) (A) is true and (R) is the correct explanation for (A).
- (d) (A) is true and (R) is not the correct explanation for (A).

(xvi) Observe the image and identify the function of the Central Bank depicted here.



- (a) Clearing house function
- (b) Custodian of foreign exchange
- (c) Lender of the last resort
- (d) Monopoly of note issue

Question 2

[8]

Write *any two* differences between:

- (a) Direct and Indirect cost
- (b) Recruitment and Selection
- (c) Marketing and Sales
- (d) Preference and Equity shares

Question 3

[8]

- (a) 'Cost which has elements that remain constant and components that vary with the level of activity'. Identify the cost and give *any one* example.
- (b) Briefly explain '*Gratuity*' as a social security scheme.
- (c) 'A budget is a statement of planned events.' Explain what a *Cash budget* is.
- (d) What is a *Profit and Loss account*?

Question 4

[8]

- (a) Explain '*clearance sale*' as a method of Sales Promotion.
- (b) What is *CPCB*?
- (c) Meeta gives a loan to ABC Enterprises and is promised a regular interest on it. What has Meeta invested in? Explain briefly the source of finance used by her.
- (d) What is 'Deferred Revenue Expenditure? Give *two* examples.

SECTION B (40 Marks)

(Answer *any four* questions from this *Section*.)

Question 5

- (i) Mohit wants to launch a new line of luxury watches. He contacts an agency which performs all advertising related services for a certain fee.
- (a) Identify the agency. Explain *any four* functions performed by this agency. [5]
- (b) Give *five* differences between Products and Services. [5]

Question 6

- (i) XYZ Enterprises regularly ordered raw materials from Sohan. [5]
- (a) Identify which category of stakeholder Sohan belongs to.
- (b) State *four* expectations Sohan may have from XYZ Enterprises.
- (ii) Write short notes on: [5]
- (i) Principle of Indemnity
- (ii) Job Rotation

Question 7

- (i) Explain *three* merits and *two* demerits of Air transport. [5]
- (ii) Write short notes on: [5]
- (a) Fire insurance
- (b) Internet and Cyber Fraud

Question 8

- (i) 'These organisations provide workers with collective bargaining power, enabling them to negotiate for better benefits.' [5]
- (a) Identify the organisation.
 - (b) Explain *any four* functions that it performs.
- (ii) Briefly explain: [5]
- (a) Placement as a step of Selection
 - (b) Bankers bank function of the Central Bank

Question 9

- (i) Rohan takes insurance for his showroom for ₹20 lakhs from ABC insurance and 30 lakhs from XYZ finance. He later suffers a loss of ₹25 lakhs. [5]
- (a) Which principle of insurance will apply in this scenario? Explain it in brief.
 - (b) What is the maximum amount that Rohan can claim after the loss?
 - (c) Which company will compensate Rohan for the loss?
- (ii) Write short notes on: [5]
- (a) RTGS
 - (b) Pension Scheme

Question 10

Use the following Trial Balance to prepare the Final Accounts of PQR for the year ending March 31, 2025. [10]

TRIAL BALANCE

Particulars	Dr.	Cr.
Capital		3,78,000
Drawings	40,000	
Plant and Machinery	1,60,000	
Creditors		90,000
Debtors	1,20,000	
Purchases	2,45,000	
Purchase returns		14,000
Sales		4,40,000
Sales Returns	20,000	
Cash in Hand	50,000	
Wages	90,000	
Repairs	6,000	
Salaries	70,000	
Opening Stock	75,000	
Rent	20,000	
Bills Payable		50,000
Taxes	14,000	
Carriage Inwards	8,000	
Fittings and Fixtures	54,000	
	9,72,000	9,72,000

Closing Stock was valued at Rs. 1,00,000.